

July 14, 2026 05:23 AM GMT

Netflix Inc | North America

We've Seen This Movie Before – Reiterate OW

WHAT'S CHANGED

Netflix Inc (NFLX.O)	From	To
Price Target	\$115.00	\$90.00

The engagement elephant continues to rear its head & investors are on-edge that an earlier price hike in a seasonally tough period & lighter content slate could have driven more churn than usual. We continue to find shares undervalued relative to the growth, but acknowledge a tricky catalyst path.

AlphaWise 

Key Takeaways

- We look for a largely inline 2Q print and 3Q guide, along with a reiteration of the FY26 guidance, while we are hopeful for a more robust buyback cadence
- While our credit card panel data suggests a slightly larger than usual spike in churn post hikes, our survey work suggests continued LT pricing power
- We do think engagement concerns are largely overblown and see the potential for the live events / sports slate in the 2H to show some improvement
- Shares bottomed ~15x in Summer '22 after subs went negative for the 1st time in 10 yrs, which we view as a reasonable analog if engagement deteriorates further
- We lower our PT to \$90 (~22% upside) or ~22x NTM EPS & take our bear case down to \$60 (~20% downside) or ~15x, while staying O/W. +55% upside to \$115 bull case

The Setup: We look for a **largely inline 2Q result** (\$12.5bn revs which is ~12% ex-FX growth or +13.5% reported) & **3Q guide** (~\$13bn revs which is ~12% ex-FX growth or +13% reported) along with the **reiteration of the full-year guide** (revs of \$50.7-51.7bn vs MSe \$51.3bn, **op margins** of 31.5% and **FCF** of \$12.5bn), while acknowledging **some potential risk to the 3Q rev guide** from less favorable FX, along with the prospect of higher churn. We do think there is some potential for a +25-50bps y/y margin raise to the FY26 OI guide which assumes ~200bps y/y on a reported basis or ~150bps ex-FX and adjusting for the Brazil 1x tax-catch up from 2025 and \$275mn of deal related expenses, but we are not modeling that in our base case. Valuation has reached compelling levels with shares trading at <20x fwd P/E for a company that we still see compounding EPS at >20% CAGR, for one of the most attractive PEG ratios in Media/Internet (and even better on FCF vs many Lg Caps with negative free cash flow), if the algorithm for double-digit revenue growth and expanding margins remains intact, which we believe it should.

Sentiment has soured: Netflix investor sentiment has deteriorated significantly in

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Netflix Inc (NFLX.O, NFLX US)

Media & Entertainment | United States of America

Stock Rating	Overweight			
Industry View	In-Line			
Price target	\$90.00			
Shr price, close (Jul 13, 2026)	\$73.83			
Mkt cap, curr (mm)	\$318,336			
52-Week Range	\$127.75-70.86			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
ModelWare EPS (\$)	2.53	3.59	3.70	4.45
Prior ModelWare EPS (\$)	-	3.61	3.87	4.62
EPS (\$)**	2.53	3.59	3.70	4.46
Prior EPS (\$)**	-	3.61	3.87	4.62

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology
e = Morgan Stanley Research estimates

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the last few months driven by 5 primary factors: 1) concerns around **engagement** growth slowing to ~1-2% y/y (and debate as to whether we will continue to get the time spent report) and a lack of recent break-through new content (along with press on second season falloffs or more sophomore slumps); 2) concerns of elevated **churn** post the March price hike compounded by unfavorable seasonality and the World Cup; 3) higher spend and **less margin expansion** than historical (~200bps vs ~300bps); 4) **AI positioning** and the future of content uncertainty (on the notion that user-generated platforms like YouTube and shorter-form platforms like IG & TikTok are better positioned); and 5) an **M&A discount / overhang** post Warner Bros Studio & Streaming interest. We tend to think many of these concerns are well understood and in some cases overblown, while we see margins as a managed outcome and the market not focused enough on the potential cost saves from AI not priced (real cost savings in the ~20-40% range possible), with new efforts around shorter-form content and more mobile formats (podcasts) and interactive gaming as un-priced call options. We do think a more aggressive buyback cadence beyond the ~\$2bn per quarter that we model this year could help alleviate some fears on capital allocation.

The Engagement Elephant: We would not be shocked if Netflix did decide at some point to stop providing the details of this report given they provide more detail than competitors and they may look to give more selective disclosure as they did with members. We would **prefer** that they gave us **incremental information around quality scoring** (aggregating things like completion rates, re-watching, thumbs up/down could go a long way with engagement quality at all-time highs), although we do understand that there could be some competitive intelligence sharing they may not want to do. After having shown strong double-digit engagement growth over the last few years, Netflix has seen y/y hours growth decelerate to the low-single digits and we have a hard time envisioning an acceleration in hours growth in the near-term. We believe this is driven by 3 predominant factors: 1) **law of large numbers** as they approach 200bn global hours streamed annually, 2) an **international mix shift** headwind (Japan watches ~60% less TV than the US, as an example) and 3) increased **viewing competition**, including more short-form. While we continue to think that as a premium subscription service, members vote every month with their wallet and don't value their time spent there in number of minutes, which also means it is less existential than a primarily ad-supported business model would be if engagement growth deteriorated. We do continue to think investors are overly focused on the headline hours number and that it does not correlate nearly as much to revenue growth as many fear. That said, it is an indicator of pricing power long-term and understandably investors are on-edge as we no longer have quarterly sub / net add disclosures. Ultimately, we think it all comes back to pricing power, and our survey work suggests they still have the best perceived original content and the strongest breadth & depth, along with viewer intention.

2022 Analog, Shares Bottomed ~14-15x P/E: With many asking where shares could bottom, we would look to 2022 as the last major period of growing pains for Netflix that saw subs go negative for the first time in 10 years (1Q22 -200K, 2Q22 -970K), which was impacted by the payback from the Covid hangover, along with increased competition and fears of saturation in the S-curve. Shares had bottomed at ~14-15x

fwd EPS in Summer 2022 with a turnaround driven by several levers which included the password/paid-sharing crackdown (where they estimated ~100mn HHs watching without paying) and entrance into an ad-supported tier in Oct/Nov '22. We see the potential for new ad-tier markets (15 new coming in 2027 on top of the 12 existing), along with some new formats/partnerships as underappreciated revenue drivers.

Survey Silver Lining (see [here](#)): Despite investor concerns around engagement and pricing power, Netflix showed the **strongest net retention score of all video streaming services** (+18 = 36% to cancel last – 18% to cancel first), followed by **YouTube Premium** and **Amazon Prime Video**. While Netflix recently increased prices, the **value perception remains strong** with most thinking that the current standard ad-free plan pricing at ~\$20 per month is a 'great buy for the money' while they **have room to >\$30 per month before it is perceived to be 'getting expensive'** and would give some thought to subscribing. However, we note recent third party data suggests a larger than usual spike in churn in the US post price hikes this cycle. We use this data as a directional guide rather than to capture an exact data point. Taking the results with a grain of salt, we conservatively increase churn estimates in 2H26 to reflect this trend (see [Exhibit 2](#)).

Mixing It Up: According to the [press](#), Netflix does appear to be testing new avenues of improving engagement and better competing with platforms such as YouTube. They inked deals with publishers that will give them access to shorter-form content (2-3 mins to 20+ mins) to better compete with platforms such as Instagram and TikTok. While the knee-jerk is that this appears somewhat defensive, we do think it is better that they test & iterate new formats and ultimately do all they can to stay as relevant as they can in a highly splintering media backdrop with more and more options vying for attention at an increasing rate. Meanwhile, the WSJ [reported](#) last week that following giving subs in France access to broadcaster TF1 recently, they could also look to do similar deals across Europe & LatAm. At the same time, they were said to be exploring adding other live channels that would continuously stream certain programs, or shows and films from a certain genre. Meanwhile, it was [reported](#) that they have also explored bundling other subscription-based streaming services, including NBCUniversal's Peacock, into its offering. It would sell those subscriptions through its main app as rivals such as Amazon, Apple & Roku have long done. Assuming Netflix can conservatively capture 20% of non-Netflix US streaming spend through this offering – we estimate ~\$1-1.2bn of incremental revenues, \$400-550mm of incremental OI or ~10 cents of EPS (FY27/28).

The Slate: In terms of notable upcoming releases, we would flag the *MLB Home Run Derby* (July 13), *The Hawk* (July 16), *72 Hours* (July 24), *MLB Field of Dreams Game* (Aug 13), *Outer Banks* season 5 (Aug 20), *The Gentleman* season 2 (Sept 3), *NFL* week 1 Rams & 49ers (Sept 10), *Lupin s4* (Oct 23), *Six Kings Slam* (Oct), the *Tyson Fury vs. Anthony Joshua* fight (Nov), *The Adventures of Cliff Booth* (Dec 23), *NFL* on Christmas Day (Dec 25).

Changes to our estimates and PT – We update estimates for 1) FX (stronger dollar, ~40bps headwind to revenue), 2) recent price increases (Nordics, Spain & Hong Kong), and 3) increase 2H26 US churn 50-100bps to account for 1H26 price hikes. Overall, our FY27/28 EPS comes down ~4% (see [Exhibit 3](#)). As a result of lower estimates and negative sentiment overhang (discussed above), we lower our mid-27

PT to \$90 (\$115 prior) or 22x NTM EPS (from 30x prior, de-rate given sentiment overhang/comps de-rate), largely in-line with the peer average (vs a premium prior).

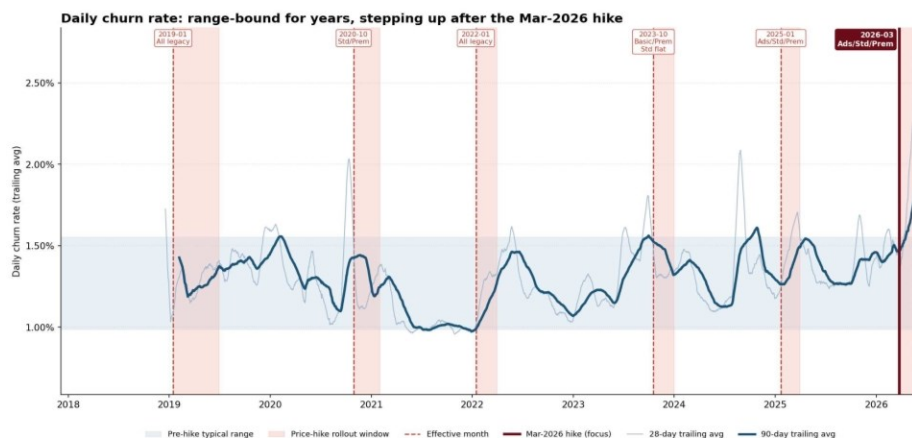
Exhibit 1: Netflix's PEG ratio remains attractive relative to Big Tech peers

Comps	Ticker	P / E			3-YR EPS CAGR (‘25-28E)	PEG ratio
		2026E	2027E	2028E		
Apple	AAPL	38.4x	31.7x	29.1x	11%	3.39x
Amazon	AMZN	29.8x	23.8x	19.4x	21%	1.42x
Alphabet	GOOGL	29.1x	25.7x	22.7x	13%	2.26x
Meta	META	20.6x	18.1x	16.1x	20%	1.02x
Microsoft	MSFT	22.0x	18.5x	15.2x	17%	1.27x
Netflix	NFLX	20.5x	19.9x	16.6x	21%	0.99x
Spotify**	SPOT	31.4x	23.3x	19.1x	20%	1.54x
Peer Average		28.5x	23.5x	20.3x	17%	1.82x

Source: Company data, Morgan Stanley Research

Exhibits

Exhibit 2: Credit Card Data Suggests A Relatively Higher Churn Rate This Price Increase Cycle



Source: AlphaWise, Carbon Arc - Credit Card US Complete Panel, Morgan Stanley Research. We define churn as a card that paid NFLX in each of the prior six billing cycles (~31 days each) and then made no NFLX payment for two consecutive cycles (~72 days, including a grace period).

Limitations of the Data and Methodology

- 1. Panel Representativeness:** The dataset is based on a panel of approximately 9 million U.S. credit and debit cards. It captures card transactions only and does not include spending through other payment methods, such as cash, ACH transfers, or checks. In addition, because the panel represents a subset of U.S. consumers, it may not fully reflect the broader consumer population. As a result, estimates should be interpreted in the context of the underlying panel.
- 2. Brand Mapping:** Transactions are mapped to brands using available information such as transaction descriptions and merchant category codes (MCCs). While this process is designed to be systematic, some transactions may be subject to misclassification or mapping uncertainty.
- 3. Data Revisions:** Historical card spending data may be revised over time. Revisions can occur due to updates in the underlying panel (e.g., changes associated with the rolling panel construction methodology) as well as improvements to the brand mapping methodology.
- 4. The dataset tracks card transactions, as a result card replacements or switches may be recorded as churn.**

Exhibit 3: NFLX Prior vs Current Estimates

(USD millions)	2026E				2026E				2027E				
	Prior	Current	Change	% Change	Prior	Current	Change	% Change	Prior	Current	Change	% Change	
<u>Paid Streaming Members</u>													
US & Canada	94.63	94.63	-	0.0%	97.55	93.90	(3.65)	-3.7%	100.31	97.08	(3.23)	-3.2%	
EMEA	112.20	112.20	-	0.0%	114.37	114.37	-	0.0%	118.73	118.73	-	0.0%	
LATAM	59.75	59.75	-	0.0%	62.47	62.47	-	0.0%	67.59	67.59	-	0.0%	
APAC	68.38	68.38	-	0.0%	71.53	71.53	-	0.0%	76.92	76.92	-	0.0%	
Total	334.97	334.97	-	0.0%	345.92	342.27	(3.65)	-1.1%	363.56	360.32	(3.23)	-0.9%	
<u>Paid Streaming Net Adds</u>													
US & Canada	0.26	0.26	-	0.0%	3.62	(0.03)	(3.65)	NM	2.76	3.18	0.42	NM	
EMEA	0.82	0.82	-	0.0%	4.60	4.60	-	0.0%	4.36	4.36	-	0.0%	
LATAM	0.88	0.88	-	0.0%	4.47	4.47	-	0.0%	5.12	5.12	-	0.0%	
APAC	1.70	1.70	-	0.0%	6.74	6.74	-	0.0%	5.39	5.39	-	0.0%	
Total	3.67	3.67	-	0.0%	19.43	15.78	(3.65)	-18.8%	17.64	18.05	0.42	2.4%	
<u>Streaming ARPPU</u>													
US & Canada	\$18.64	\$18.64	-	0.0%	\$19.61	\$19.60	(\$0.01)	-0.1%	\$20.89	\$20.86	(\$0.03)	-0.2%	
EMEA	\$12.39	\$12.39	-	0.0%	\$12.29	\$12.35	\$0.06	0.5%	\$12.97	\$13.00	\$0.03	0.2%	
LATAM	\$8.71	\$8.72	\$0.01	0.1%	\$8.96	\$9.10	\$0.14	1.5%	\$9.52	\$9.78	\$0.26	2.8%	
APAC	\$7.81	\$7.80	(\$0.01)	-0.1%	\$7.65	\$7.34	(\$0.31)	-4.0%	\$7.77	\$7.22	(\$0.56)	-7.2%	
Total	\$12.58	\$12.58	0.00	0.0%	\$12.83	\$12.79	(\$0.04)	-0.3%	\$13.46	\$13.32	(\$0.14)	-1.0%	
<u>Streaming Revenue</u>													
US & Canada	\$5,285.4	\$5,285.4	---	0.0%	\$22,337.7	\$22,123.2	(\$214.5)	-1.0%	\$24,800.0	\$23,898.9	(\$901.1)	-3.6%	
EMEA	\$4,156.1	\$4,156.1	---	0.0%	\$16,546.2	\$16,627.5	\$81.3	0.5%	\$18,146.8	\$18,188.8	\$42.0	0.2%	
LATAM	\$1,549.9	\$1,551.9	\$2.0	0.1%	\$6,441.1	\$6,540.6	\$99.5	1.5%	\$7,424.7	\$7,630.4	\$205.7	2.8%	
APAC	\$1,582.6	\$1,580.7	(\$1.9)	-0.1%	\$6,256.6	\$6,006.9	(\$249.8)	-4.0%	\$6,925.1	\$6,428.9	(\$496.2)	-7.2%	
Total	\$12,574.0	\$12,574.1	\$0.1	0.0%	\$51,581.6	\$51,298.2	(\$283.4)	-0.5%	\$57,296.6	\$56,147.0	(\$1,149.6)	-2.0%	
% growth (reported)	13.5%	13.5%			14.2%	13.5%			11.1%	9.5%			
% growth, excl. FX	12.1%	12.0%			12.7%	12.3%			11.0%	9.7%			
(USD millions)	2026E				2026E				2027E				
	Prior	Current	Change	% Change	Prior	Current	Change	% Change	Prior	Current	Change	% Change	
<u>Consolidated</u>													
Revenues	\$12,574.0	\$12,574.1	\$0.1	0.0%	\$51,581.6	\$51,298.2	(\$283.4)	-0.5%	\$51,341	\$57,296.6	\$56,147.0	(\$1,149.6)	-2.0%
Cost of revenues	\$6,191.2	\$6,191.2	---	0.0%	\$25,178.3	\$25,157.9	(\$20.4)	-0.1%	\$26,954.9	\$26,916.5	(\$38.4)	-0.1%	
Marketing	\$828.4	\$828.4	\$0.0	0.0%	\$3,853.3	\$3,802.7	(\$50.6)	-1.3%	\$4,137.0	\$4,021.7	(\$115.2)	-2.8%	
Contribution profit	\$5,554.5	\$5,554.5	\$0.1	0.0%	\$22,550.0	\$22,337.8	(\$212.4)	-0.9%	\$26,204.8	\$25,208.8	(\$995.9)	-3.8%	
% margin	44.2%	44.2%	0.0%	0.0%	43.7%	43.5%	-0.2%	-0.2%	45.7%	44.9%	-0.8%	-1.8%	
Tech & Development	\$948.5	\$948.5	\$0.0	0.0%	\$3,965.8	\$3,893.8	(\$72.0)	-1.8%	\$4,266.6	\$4,093.4	(\$173.2)	-4.1%	
G&A Expenses	\$500.6	\$500.6	\$0.0	0.0%	\$2,317.7	\$2,305.0	(\$12.7)	-0.5%	\$2,191.7	\$2,178.3	(\$13.4)	-0.6%	
Other Expenses	\$0.0	\$0.0	---	NM	\$0.0	\$0.0	---	NM	\$0.0	\$0.0	---	NM	
Operating Income	\$4,105.4	\$4,105.4	\$0.1	0.0%	\$16,236.5	\$16,138.8	(\$97.8)	-0.6%	\$16,272	\$16,746.4	\$16,937.1	(\$809.3)	-4.1%
% margin	32.6%	32.6%	0.0%	0.0%	31.5%	31.5%	0.0%	0.0%	31.7%	34.5%	33.7%	-0.7%	-2.1%
% growth (reported)	41.1%	36.0%			21.8%	21.1%			21.6%	17.3%			
Interest Expense	\$175.0	\$175.0	---	0.0%	\$788.5	\$788.5	---	0.0%	\$649.4	\$649.4	---	0.0%	
Other Income (Expense)	\$90.0	\$90.0	---	NM	\$3,134.1	\$3,131.5	(\$2.6)	NM	\$406.6	\$390.7	(\$15.8)	NM	
Tax Provision	\$623.2	\$623.2	\$0.0	NM	\$3,129.7	\$3,114.2	(\$15.5)	NM	\$3,218.1	\$3,081.9	(\$136.2)	NM	
Net Income	\$3,397.2	\$3,397.3	\$0.1	0.0%	\$15,452.4	\$15,367.6	(\$84.8)	-0.5%	\$16,285.5	\$15,596.5	(\$689.0)	-4.2%	
Diluted Shares	4,300.5	4,300.5	---	0.0%	4,276.4	4,276.4	---	0.0%	4,212.0	4,212.0	---	0.0%	
EPS - GAAP	\$0.79	\$0.79	---	0.0%	\$3.61	\$3.59	(\$0.02)	-0.6%	\$3.61	\$3.87	\$3.70	(\$0.17)	-4.4%
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Source: Company data, Morgan Stanley Research

Exhibit 4: NFLX Bull/Bear/Base Scenarios

NFLX Scenarios

Base Case								
	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
EPS	\$1.20	\$1.98	\$2.53	\$3.59	\$3.70	\$4.46	\$5.36	\$6.33
% growth	21%	65%	27%	42%	3%	20%	20%	18%
Revenue	\$33,723	\$39,001	\$45,183	\$51,298	\$56,147	\$61,890	\$67,505	\$73,285
% growth	7%	16%	16%	14%	9%	10%	9%	9%
Contribution Profit	\$11,350	\$15,045	\$18,606	\$22,338	\$25,209	\$28,865	\$32,768	\$36,572
Margin (%)	34%	39%	41%	44%	45%	47%	49%	50%
Operating Income	\$6,954	\$10,418	\$13,327	\$16,139	\$18,937	\$22,230	\$25,835	\$29,339
% growth	23%	50%	28%	21%	17%	17%	16%	14%
Margin (%)	20.6%	26.7%	29.5%	31.5%	33.7%	35.9%	38.3%	40.0%
YE cash	\$7,117	\$7,805	\$9,034	\$13,010	\$11,354	\$8,100	\$6,000	\$6,000
Share repurchases	\$6,045	\$6,264	\$9,127	\$7,271	\$15,000	\$19,500	\$24,375	\$28,031
Gross debt / EBITDA	2.0x	1.5x	1.1x	0.8x	0.7x	0.6x	0.6x	0.8x
FCF (CFFO less capex)	\$6,926	\$6,922	\$9,461	\$12,844	\$13,644	\$16,246	\$18,858	\$21,872
FCF / share	\$1.54	\$1.58	\$2.18	\$3.00	\$3.24	\$3.98	\$4.81	\$5.84

Global Paid Subscribers

Total Paid Subscribers	260.3	301.6	326.5	342.3	360.3	377.8	395.1	412.4
% growth	12.8%	15.9%	8.2%	4.8%	5.3%	4.8%	4.6%	4.4%
Paid Net Adds	29.5	41.4	24.9	15.8	18.1	17.5	17.3	17.4
Global Avg. ARM	\$11.6	\$11.7	\$12.1	\$12.8	\$13.3	\$14.0	\$14.6	\$15.1
% growth	-1.1%	0.6%	3.3%	5.8%	4.2%	4.9%	4.2%	3.9%

Bear Case

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
EPS	\$1.20	\$1.98	\$2.53	\$3.50	\$3.35	\$3.79	\$4.35	\$4.90
% growth	21%	65%	27%	38%	-4%	13%	15%	13%
Revenue	\$33,723	\$39,001	\$45,183	\$50,939	\$54,215	\$58,305	\$62,293	\$66,251
% growth	7%	16%	16%	13%	6%	8%	7%	6%
Contribution Profit	\$11,350	\$15,045	\$18,606	\$22,142	\$23,773	\$26,039	\$28,551	\$30,830
Margin (%)	34%	39%	41%	43%	44%	45%	46%	47%
Operating Income	\$6,954	\$10,418	\$13,327	\$15,792	\$17,236	\$19,155	\$21,383	\$23,405
% growth	23%	50%	28%	19%	9%	11%	12%	9%
Margin (%)	20.6%	26.7%	29.5%	31.0%	31.8%	32.9%	34.3%	35.3%
YE cash	\$7,117	\$7,805	\$9,034	\$18,650	\$18,883	\$17,404	\$13,645	\$8,909
Share repurchases	\$6,045	\$6,264	\$9,127	\$1,271	\$12,000	\$15,600	\$19,500	\$22,425
Gross debt / EBITDA	2.0x	1.5x	1.1x	0.8x	0.8x	0.7x	0.6x	0.8x
FCF (CFFO less capex)	\$6,926	\$6,922	\$9,461	\$12,484	\$12,533	\$14,121	\$15,741	\$17,689
FCF / share	\$1.54	\$1.58	\$2.18	\$2.89	\$2.92	\$3.37	\$3.88	\$4.51

Global Paid Subscribers

Total Paid Subscribers	260.3	301.6	326.5	337.6	349.7	361.8	373.1	383.9
% growth	12.8%	15.9%	8.2%	3.4%	3.6%	3.5%	3.1%	2.9%
Paid Net Adds	29.5	41.4	24.9	11.1	12.2	12.1	11.2	10.9
Global Avg. ARM	\$11.6	\$11.7	\$12.1	\$12.8	\$13.1	\$13.7	\$14.1	\$14.8
% growth	-1.1%	0.6%	3.3%	5.6%	3.0%	3.9%	3.4%	3.2%

Bull Case

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
EPS	\$1.20	\$1.98	\$2.53	\$3.76	\$4.14	\$5.08	\$6.18	\$7.41
% growth	21%	65%	27%	49%	10%	22%	22%	20%
Revenue	\$33,723	\$39,001	\$45,183	\$51,773	\$57,723	\$64,406	\$70,920	\$77,735
% growth	7%	16%	16%	15%	11%	12%	10%	10%
Contribution Profit	\$11,350	\$15,045	\$18,606	\$22,645	\$26,388	\$30,698	\$35,186	\$39,662
Margin (%)	34%	39%	41%	44%	46%	48%	50%	51%
Operating Income	\$6,954	\$10,418	\$13,327	\$16,785	\$20,843	\$24,800	\$29,011	\$33,205
% growth	23%	50%	28%	26%	24%	19%	17%	14%
Margin (%)	20.6%	26.7%	29.5%	32.4%	36.1%	38.5%	40.9%	42.7%
YE cash	\$7,117	\$7,805	\$9,034	\$16,714	\$11,639	\$6,000	\$6,000	\$6,000
Share repurchases	\$6,045	\$6,264	\$9,127	\$4,271	\$20,250	\$26,325	\$29,250	\$33,638
Gross debt / EBITDA	2.0x	1.5x	1.1x	0.8x	0.6x	0.6x	0.6x	0.9x
FCF (CFFO less capex)	\$6,926	\$6,922	\$9,461	\$13,547	\$15,475	\$18,613	\$21,625	\$25,146
FCF / share	\$1.54	\$1.58	\$2.18	\$3.14	\$3.66	\$4.60	\$5.63	\$6.94

Global Paid Subscribers

Total Paid Subscribers	260.3	301.6	326.5	347.2	368.0	388.4	408.9	429.8
% growth	12.8%	15.9%	8.2%	6.4%	6.0%	5.5%	5.3%	5.1%
Paid Net Adds	29.5	41.4	24.9	20.8	20.7	20.4	20.5	21.0
Global Avg. ARM	\$11.6	\$11.7	\$12.1	\$12.8	\$13.5	\$14.2	\$14.8	\$15.4
% growth	-1.1%	0.6%	3.3%	6.2%	4.8%	5.5%	4.5%	4.2%

Current Price	\$73.8
Implied EV / fwd Revenue	6.0x
Implied EV / fwd EBITDA	18.0x
Implied fwd P/E	20.2x
Upside / downside	22%

Scenario Price Target (Mid-27)	\$90
Implied EV / fwd revenue	6.5x
Implied EV / fwd EBITDA	18.2x
Implied fwd P/E	22.3x
YE2026 FMV per share	\$147

Current Price	\$73.8
Implied EV / fwd Revenue	6.1x
Implied EV / fwd EBITDA	19.0x
Implied fwd P/E	21.6x
Upside / downside	-19%

Scenario Price Target (Mid-27)	\$60
Implied EV / fwd revenue	4.5x
Implied EV / fwd EBITDA	13.5x
Implied fwd P/E	16.9x
YE2026 FMV per share	\$108

Current Price	\$73.8
Implied EV / fwd Revenue	5.9x
Implied EV / fwd EBITDA	16.9x
Implied fwd P/E	18.7x
Upside / downside	56%

Scenario Price Target (Mid-27)	\$115
Implied EV / fwd revenue	8.0x
Implied EV / fwd EBITDA	21.1x
Implied fwd P/E	25.2x
YE2026 FMV per share	\$173

Source: Company data, Morgan Stanley Research

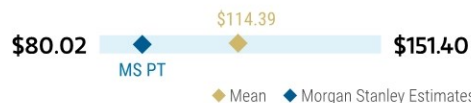
Risk Reward – Netflix Inc (NFLX.O)

Scaled leader in streaming, with strong growth and FCF generation ahead.

PRICE TARGET \$90.00

Our \$90 PT reflects 22x fwd. EPS, largely in-line with the peer average.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

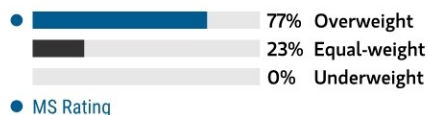


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 13 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- The addressable market for streaming remains compelling, and Netflix's global leadership and content budget remain key advantages in capturing share of overall market growth.
- We continue to see Netflix as a FCF generative business, with long-term FCF margins determined by the ability to drive higher scale on fixed operating costs.

Consensus Rating Distribution



Risk Reward Themes

Pricing Power: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$115.00

25x our bull case fwd. EPS

Successfully leveraging investments to drive sustained sub and ARM growth, resulting in a mid-teens revenue CAGR through '28E. Consolidated EBIT margins expand more rapidly to ~40% by 2028E. Stand-alone NFLX EPS CAGR of roughly 30% over the next three years.

BASE CASE

\$90.00

22x our base case fwd. EPS

Global revenues grow at a double-digit CAGR through '28E, driving consolidated EBIT margins to expand to over 35% by 2028E (roughly 200bp annually). Standalone EPS CAGR of roughly 20-25% from 2025 to 2028E.

BEAR CASE

\$60.00

~15x our fwd. base case EPS

Our bear case forecast assumes elevated churn and more challenging penetration for int'l markets, leading to a deceleration to high-single digit revenue CAGR over the next 3 years. Consolidated EBIT margins reach roughly 33% by 2028E (~400bp below base case).

Risk Reward – Netflix Inc (NFLX.O)

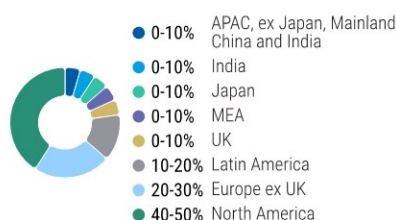
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Global Paid Sub Net Adds (mm)	24.9	15.8	18.1	17.5
Global ARM Growth (%)	3.3	5.8	4.2	4.9
Consolidated EBIT Margin (%) (%)	29.5	31.5	33.7	35.9
FCF (CFFO less capex) (\$, mm)	9,461	12,844	13,644	16,246

INVESTMENT DRIVERS

- Global subscriber growth and contribution margins
- Impact of pricing increases on member churn
- Ability to maintain exclusive content to differentiate from competitors and deliver on success of original programming

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Success of programming and paid sharing initiatives drive re-acceleration in sub growth
- Pricing increases lead to rev upside, driving improvement in FCF

RISKS TO DOWNSIDE

- Pricing increases and increased competition drive slower subscriber growth
- Competition drives continued need to invest in growing exclusive content, lowering margins
- Challenges in developing markets negatively impact member growth expectations

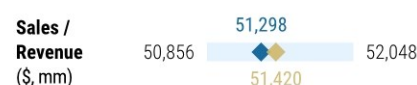
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.4%	
HF Sector Long/Short Ratio	2.6x	
HF Sector Net Exposure	12.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Netflix Inc (NFLX.O) - As of 07/14/26 GMT in USD
Industry : Media & Entertainment



Stock Rating History: 7/1/21 : O/I; 1/21/22 : E/I; 10/19/23 : O/I; 4/8/26 : O/I

Price Target History: 4/21/21 : 65; 10/15/21 : 67.5; 10/20/21 : 70; 1/21/22 : 45; 4/14/22 : 42.5; 4/20/22 : 30; 7/12/22 : 22; 7/20/22 : 23; 10/19/22 : 25; 12/19/22 : 27.5; 1/18/23 : 30; 1/20/23 : 35; 7/9/23 : 45; 10/11/23 : 43; 10/19/23 : 47.5; 12/18/23 : 55; 1/23/24 : 60; 4/12/24 : 70; 7/14/24 : 78; 10/9/24 : 82; 10/17/24 : 83; 12/18/24 : 105; 1/22/25 : 115; 4/20/25 : 120; 7/9/25 : 145; 7/17/25 : 150; 12/18/25 : 120; 1/21/26 : 110; 4/8/26 : 115

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Media & Entertainment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Cameron Mansson-Perrone		
Live Nation Entertainment Inc. (LYV.N)	O (12/14/2023)	\$183.25
Madison Square Garden Entertainment Corp (MSGE.N)	E (05/26/2023)	\$74.99
New York Times Co (NYT.N)	E (12/16/2022)	\$75.04
StubHub Holdings, Inc. (STUB.N)	E (04/27/2026)	\$10.30
Vivid Seats Inc. (SEAT.O)	E (08/01/2023)	\$8.02
Warner Music Group Corp. (WMG.O)	O (12/18/2025)	\$28.75
Cameron McVeigh, CFA		
Clear Channel Outdoor Holdings, Inc. (CCO.N)	++	\$2.41
Lamar Advertising Co. (LAMR.O)	E (06/10/2022)	\$157.23
OUTFRONT MEDIA INC (OUT.N)	O (12/15/2025)	\$33.15
Daniel Duran		
Atlanta Braves Holdings Inc (BATRK.O)	E (05/09/2018)	\$52.56
Cinemark Holdings, Inc. (CNK.N)	E (12/18/2025)	\$29.15
Lionsgate Studios Corp (LION.N)	O (08/01/2024)	\$13.29
Madison Square Garden Sports Corp (MSGS.N)	E (12/15/2021)	\$386.11
Sphere Entertainment Co (SPHR.N)	O (12/18/2025)	\$144.98
Sean Diffley, CFA		
AMC Networks, Inc. (AMCX.O)	U (06/06/2023)	\$9.97
Fox Corporation (FOXA.O)	++	\$55.90
Liberty Formula One (FWONK.O)	O (12/18/2024)	\$99.64
Netflix Inc (NFLX.O)	O (04/08/2026)	\$73.83
Omnicom Group Inc. (OMC.N)	E (12/15/2025)	\$82.55
Paramount Skydance Corporation (PSKY.O)	O (04/30/2026)	\$9.55
Roku Inc. (ROKU.O)	++	\$142.34
Spotify Technology SA (SPOT.N)	O (04/13/2026)	\$479.84
Starz Entertainment Corp. (STRZ.O)	E (08/12/2025)	\$27.40
TKO Group Holdings Inc (TKO.N)	O (04/30/2026)	\$180.96

Walt Disney Co (DIS.N)	O (02/03/2026)	\$96.00
Warner Bros Discovery Inc. (WBD.O)	E (07/20/2009)	\$27.09

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* Historical prices are not split adjusted.

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